

# LFB HOLDINGS

## Decision Distortion Assessment Reports

### BASE REPORT

#### Your Decision Distortion Assessment — Incentive Misalignment Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, incentive misalignment is showing up most actively in your company right now. This one operates differently from the other three. Noise, bias, and accumulation distort judgment from inside the decision process. Incentives operate in the environment surrounding decisions — they determine how fast the other forces compound and how much friction exists to slow them. When incentives are misaligned, the other three forces run without resistance.

#### What incentive misalignment is

Incentive misalignment is the environmental layer that governs the rate at which noise, bias, and accumulation compound. Think of it as the fuel the other forces run on. Noise, bias, and accumulation are always present in organizations — they're latent. The incentive structure determines whether they operate with friction or without it.

In a clean incentive environment — honest feedback loops, no pressure to perform a narrative, no penalty for surfacing a hard truth — the three cognitive forces still operate, but they also self-correct. Disconfirming evidence lands. Honest dissent is possible. The chain forms slowly and breaks more easily. In a high-fuel environment — runway pressure, valuation optics, board expectations, identity fusion between founder and thesis — the same latent forces run without friction. The chain closes faster.

Two empirical regularities describe how misaligned incentives corrupt the signal environment. When a measure becomes a target, it ceases to be a good measure. And when a quantitative indicator is used for accountability, it becomes subject to gaming — not always through fraud, but through the rational redirection of effort toward what is measured and away from what matters.

#### How it typically shows up

The metrics a company reports to its board and the metrics it actually runs the business by start to diverge. Not dramatically, not dishonestly — but the external story and the internal reality are different documents. Sales reports units shipped; the operational reality is that implementation timelines are slipping and renewals are at risk. The company isn't lying. It's performing the narrative the incentive environment rewards, and the people inside can see the gap but can't quite say so without cost.

Then a harder truth surfaces — a product problem, a customer defection, a market signal that the thesis may need revisiting. The person who could have raised it three months ago didn't, because they had watched what happened to the last person who brought a hard problem into the room. By the time the truth is undeniable, the window for the cheaper response has closed.

That sequence — rational silence, delayed signal, expensive correction — is what high-fuel incentive environments produce. Reliably.

Where your assessment is pointing most clearly within incentive misalignment is on cross-functional misalignment — the specific condition where team-level incentives and organizational health point in different directions. The question your assessment flagged describes one of the most recognizable failure patterns in scaling companies: sales hits quota while implementation collapses under the volume. Marketing delivers leads while product can't absorb the feedback. Engineering ships velocity metrics while technical debt accumulates to the point of constraint. Each team is winning by its own measure. The company is losing by the measures that actually matter. The misalignment isn't accidental — it's a predictable output of incentive structures that were designed for functional accountability without sufficient attention to how those functions interact. The correction requires examining compensation design and goal-setting at the organizational level, not the team level, and asking whether the behaviors each team's incentives reward are the behaviors that produce collective health or merely individual team performance.

### **Where to start**

The first intervention is a cross-functional incentive map. Put the incentive structures of every major function on the same page — what each team is measured on, what behaviors those measurements reward, and where those behaviors create friction or conflict for the functions they interact with most. Sales quota attainment that overwhelms implementation capacity. Marketing lead volume that product can't absorb. Engineering velocity metrics that accumulate technical debt the next team inherits. The map makes the structural source of the friction visible. Most cross-functional conflict gets attributed to people or communication. The map usually shows it's neither.

The second is an organizational health metric that sits above the functional ones. Identify one or two measures that only move when the functions are working well together — not metrics any single team owns, but metrics the whole organization is accountable for collectively. Revenue retention is a common one: it requires sales, implementation, product, and customer success to be pointed in the same direction simultaneously. When a metric exists that no team can move alone, the incentive to optimize at the expense of adjacent functions weakens. Not eliminated — weakened. That's enough to change the conversation.

### **The research behind this**

The academic foundation for what your assessment detected comes primarily from *The Tyranny of Metrics* by Jerry Muller — the most direct account of how incentive structures and metric fixation distort organizational behavior, and why the behaviors an incentive system produces are often not the behaviors it intended. Goodhart's Law and Campbell's Law — both documented in detail there — are directly applicable to what your scores are showing. The insight that matters most: the harder an organization pushes on a metric, the less reliable that metric becomes as a guide to the underlying reality it was meant to capture.

### **What's next**

The full Decision Distortion whitepaper from LFB Holdings walks through how incentive misalignment combines with the other three forces — noise, bias, and accumulation — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

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For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

**Bad Call:** [badcall.ai](https://badcall.ai)